

MICROTECH INC.

Corporate Tax & Book-to-Tax Adjustment Analysis

Professional Project Presentation

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1. Project Scope & Tax Workflow

The workbook follows the core steps used to bridge financial accounting data to federal taxable income.

Work performed

- Reviewed and mapped the chart of accounts to Balance Sheet and Income Statement categories.
- Classified book-to-tax differences (BTDs) as permanent or temporary.
- Identified favorable and unfavorable tax adjustments.
- Calculated a specific depreciation timing difference using bonus depreciation.
- Converted pre-tax book income into federal taxable income and calculated the tax liability.
- Prepared a client-facing communication and identified opportunities to automate recurring tax-compliance work.

Book income

\$3.3982M

Pre-tax income after adding back federal income tax expense

Taxable income

\$3.4583M

After permanent and temporary BTD adjustments

Federal tax

\$726,243

21% rate applied to taxable income

2. Book-to-Tax Difference Framework

Permanent differences do not reverse; temporary differences arise from timing and reverse in future periods.

PERMANENT DIFFERENCES

\$312,000

Unfavorable net adjustment in the 2025 taxable-income bridge

TEMPORARY DIFFERENCES

(\$251,900)

Favorable net adjustment in the 2025 taxable-income bridge

Example BTD	Type	Tax effect
Federal income tax expense	Permanent	Unfavorable
Meals & Entertainment	Permanent	Unfavorable
Club Dues / Social Organization	Permanent	Unfavorable
Tax-exempt / Municipal Bond Interest	Permanent	Favorable
Depreciation Expense	Temporary	Varies by tax method
Accrued Bonus	Temporary	Timing difference
Prepaid Rent & Insurance	Temporary	Timing difference

Key principle: favorable adjustments reduce taxable income; unfavorable adjustments increase taxable income.

3. 2025 Taxable Income Calculation

The tax bridge reconciles pre-tax book income to federal taxable income.

Net income	\$2,800,000
Add: federal income tax expense	+ \$598,200
Pre-tax book income	\$3,398,200
Permanent differences	+ \$312,000
Temporary differences	– \$251,900
Federal taxable income	\$3,458,300

FEDERAL TAX RATE

21%

Rate used in the workbook

TOTAL FEDERAL TAX

\$726,243

$\$3,458,300 \times 21\%$

Calculation check
 $\$3,398,200 + \$312,000 - \$251,900 = \$3,458,300$

4. Depreciation LTD: Bonus Depreciation Example

A \$50,000 asset creates a timing difference between book depreciation and tax depreciation.

2025 BOOK DEPRECIATION

\$10,000

\$50,000 ÷ 5-year useful life

2025 TAX DEPRECIATION

\$50,000

100% bonus depreciation assumption in the workbook

2025 LTD

(\$40,000)

Favorable — reduces taxable income

Year	Book Dep.	Tax Dep.	LTD	Effect
2025	\$10,000	\$50,000	(\$40,000)	Favorable
2026	\$10,000	\$0	\$10,000	Unfavorable
2027	\$10,000	\$0	\$10,000	Unfavorable
2028	\$10,000	\$0	\$10,000	Unfavorable
2029	\$10,000	\$0	\$10,000	Unfavorable

Interpretation: the accelerated tax deduction lowers taxable income in 2025, while the book depreciation continues in later years and the timing difference reverses.

Source noted in workbook: IRS Publication 946 (Depreciation of Property).

5. Client Insights & Process Improvement

The final task translates the tax analysis into practical compliance-process recommendations.

01

Trial Balance Automation

Cleanse, standardize and map trial-balance accounts before import into tax software.

02

Fixed Asset Automation

Improve tracking of asset volume, acquisition dates, depreciation methods and recurring book-to-tax adjustments.

03

Review & Scalability

Reduce repetitive manual work so the tax team can focus more on review, analysis and tax planning.

Portfolio takeaway

Demonstrates practical understanding of tax-account mapping, book-to-tax reconciliation, temporary-difference analysis, taxable-income calculation, and professional client communication.

Skills demonstrated: Tax Compliance • Book-to-Tax Adjustments • Corporate Tax • Excel • Financial Analysis • Accounting • Client Communication